value, so that the appraisal showed only $1,190 of value behind each $1,000 of total debt.[20]

Another example: It may be illuminating also to make a similar critical examination of the advertisement offering Cities Service Power and Light Company Secured 6s, due 1944, at 96 to yield 6.35%, as published in April 1926. The earnings data covering the calendar year 1925 were presented substantially as follows:

Gross, including other income	$49,662,000
Net after operating expenses and taxes	19,096,000
Deduct:	
Fixed charges and preferred dividends of subsidiaries	10,102,000
Depreciation ("assumed at rates in the indenture securing these bonds")	1,574,000
Minority interest	209,000
Income applicable to interest of Cities Service Power and Light	7,211,000
Interest on this issue	1,466,000

"Income applicable to interest charges, as shown above, was over 4.9 times maximum annual interest requirements on Series A bonds of $1,466,250, and over 4.1 times maximum annual interest charges of $1,736,250 on all outstanding funded debt of Cities Service Power and Light Company."

This circular was misleading in two important respects: first in employing the prior-deductions method for computing the earnings coverage on the bonds offered; and secondly, in using an artificial and quite inadequate basis of depreciation. A study of the application to list this issue on the New York Stock Exchange shows that the operating subsidiaries actually made appropriations for replacements amounting to $5,214,000 for the year ending June 30, 1925. This was almost four times the arbitrary rates set up in the indenture. A revision of the offering circular, to conform with the actual situation in respect to depreciation, and with the proper method of stating interest coverage, will show the following exhibit:

[20] In 1932 the Utilities Service Company went into receivership and the debenture bondholders lost their entire investment.